efficient than the calcified lending procedures of the World Bank.[4] The BRICS also show sensitivity to market incentives and pressures in building their financial structures, such as equity markets.

A third potential source of dangerous international outcomes has been partially checked by the factor that most analysts predicted would drive the BRICS apart—their diversity. In fact, the BRICS have embraced their diversity and power.[5] In their club, they pragmatically put aside differences in political regime types and forms of capitalism to promote outcomes that reflect their common aversions while encouraging the realization of common interests. Diversity is a blessing in that it prevents the BRICS from becoming a club of anti-Western autocracies, like the Shanghai Cooperation Organization (SCO).[6] The mixed nature of the BRICS has helped mitigate the worst impulses of authoritarian modernization taking root as the club defines its positions. Thus, the BRICS stand united with Russia against sanctions but do not support Russia's aggressive behavior in Ukraine. Unlike an alliance system, the BRICS do not constrain the bad behavior of members outside the Bretton Woods institutions. Nonetheless, they gain experience from observing one another's actions and missteps. It is no accident, as a result, that the BRICS' collective financial statecraft has focused more on defensive than offensive measures, pushing back to ensure maximum policy discretion and protection against U.S. policies rather than making deliberate, coercive threats. Russia threatened asymmetrical retaliation if the West closed it out of the Society for Worldwide Interbank Financial Telecommunication (SWIFT). However, thus far, there may have been only one consequential use of joint offensive financial statecraft by the BRICS. This occurred during the global financial crisis when China (and apparently also Russia) signaled to the United States their concerns about the risk of huge losses if Washington did not act to protect U.S. agency debt (government-sponsored enterprises, such as Fannie Mae and Freddie Mac) in which both, particularly China, held large stakes.

Although these pessimistic interpretations of the medium-term consequences of the BRICS' defiance of the global economic order are largely unwarranted, there is no avoiding the conclusion that the BRICS are less constrained by the preferences of the West than they were when their individual and collective power capabilities were smaller. China and the BRICS do not need to equal the United States and the West to be able to